CNB review: Governor signals wait-and-see mode but tone turns dovish

The Czech National Bank has voted unanimously to leave rates unchanged at 3.50%, while keeping its options between a hold and a hike open. Despite a higher inflation path, the board stressed patience amid softer growth and tight conditions. The press conference struck a dovish tone, suggesting rates may remain unchanged for longer

The Czech National Bank opted to keep rates on hold today while keeping its options open moving forward

3.50%

CNB key rate

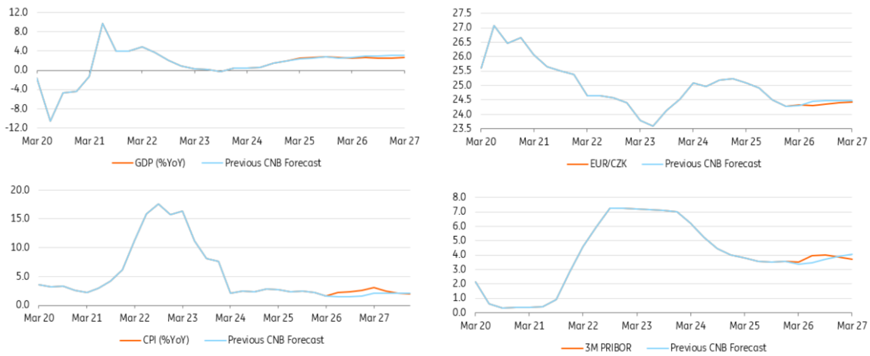
No change

As expected

CNB holds rates unanimously at 3.50%, remains open to a hike amid rising inflation

The Czech National Bank, as expected, left rates unchanged at 3.50% today. All seven members of the bank board voted for this decision. According to Governor Aleš Michl, there was no discussion of a rate hike today; the bank board is keeping its options open for the next meeting, however, where the decision will be between keeping rates unchanged and a rate hike. This could sound relatively hawkish overall in the context of rising inflation.

CNB new forecast vs February



Source: CNB, Macrobond

Higher inflation forecast but weaker growth outlook tilt the balance toward patience

Added to this is the new CNB forecast, which sees higher inflation peaking in the first quarter of 2027 and reaching 3.1% on average. However, this is still close to the upper edge of the CNB's tolerance band, and the governor therefore does not want to rush into reacting.

At the same time, May and June should bring some easing in headline inflation, according to the CNB forecast. A revision of the GDP forecast for the domestic economy from 2.9% to 2.5% (2.2% in ING's forecast) also suggests waiting. It should be noted that the CNB forecast expected a stronger 1Q26 GDP reading (2.1% vs 2.5%). This moves us in a somewhat dovish direction.

Governor defends hold decision with dovish arguments despite model implying tighter policy

The most interesting development, however, was the tone of the press conference, where journalists' questions focused on why the CNB is not hiking rates now if the new forecast implies that it should. The governor, in turn, found himself defending today's CNB decision, laying out several dovish arguments. The board had several alternative scenarios available, including one showing a recession and the need to cut rates.

At the same time, Michl argued for relatively tighter monetary policy than that of other central banks, such as the European Central Bank. This suggests that the CNB would not hike rates even if the ECB hiked – but also that the board already sees current conditions as tight. This was confirmed by the governor, who repeated several times that the entry conditions for the Czech economy in the current "supply shock" are good and the CNB can afford to wait.

Slightly dovish tone suggests prolonged pause, though upside inflation risks remain

Overall, the press conference brought a somewhat dovish tone compared to market pricing, in our view. At the same time, we can't rule out that the tone may not change if inflation continues to trend upwards. Clearly, the board's focus is not just on headline inflation but also on core inflation, which is heading towards 3%.

Still, it remains difficult to see the CNB hiking rates with headline inflation close to target. Our baseline is for rates to be kept unchanged for an extended period, but we see inflation slightly higher in our forecast than the CNB, which will test the board's resolve as we look further ahead.

Our market view

The CNB's May meeting comes at a time of global market relief, even though the end of the US-Iran conflict remains unclear and energy prices remain elevated despite some calming. The CNB understandably has no reason to rush with inflation not far from target and weaker economic data in 1Q26. The Czech koruna has seen some gains in recent days as part of the global rally and reached pre-conflict levels – all the more reason for the CNB not to rush to hike rates. At the same time, it's difficult to find reasons for further strengthening of FX. Instead, we expect EUR/CZK stability as a baseline until the extent of the impact of the US-Iran conflict on the economy, inflation, and the current account becomes clear.

Rates, on the other hand, maintain relatively hawkish pricing, with 63bp of hikes in the one-year horizon. This is a decrease from almost 90bp a few days ago. At the same time, the CZK market remains the most hawkish within the CEE region and/or the ECB. Given the solid returns at the short end of the curve, an official end to the conflict would likely lead to a decline in short-term rates, resulting in a steepening of the curve. Further out, we expect the curve to flatten again, as the CNB is unlikely to cut rates over the next two years, putting more pressure on the economy than in other CEE countries.

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